This article forms part of MECA's ongoing IR Insights Series, developed from recurring advisory queries received from members

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The Industrial Relations Consultants

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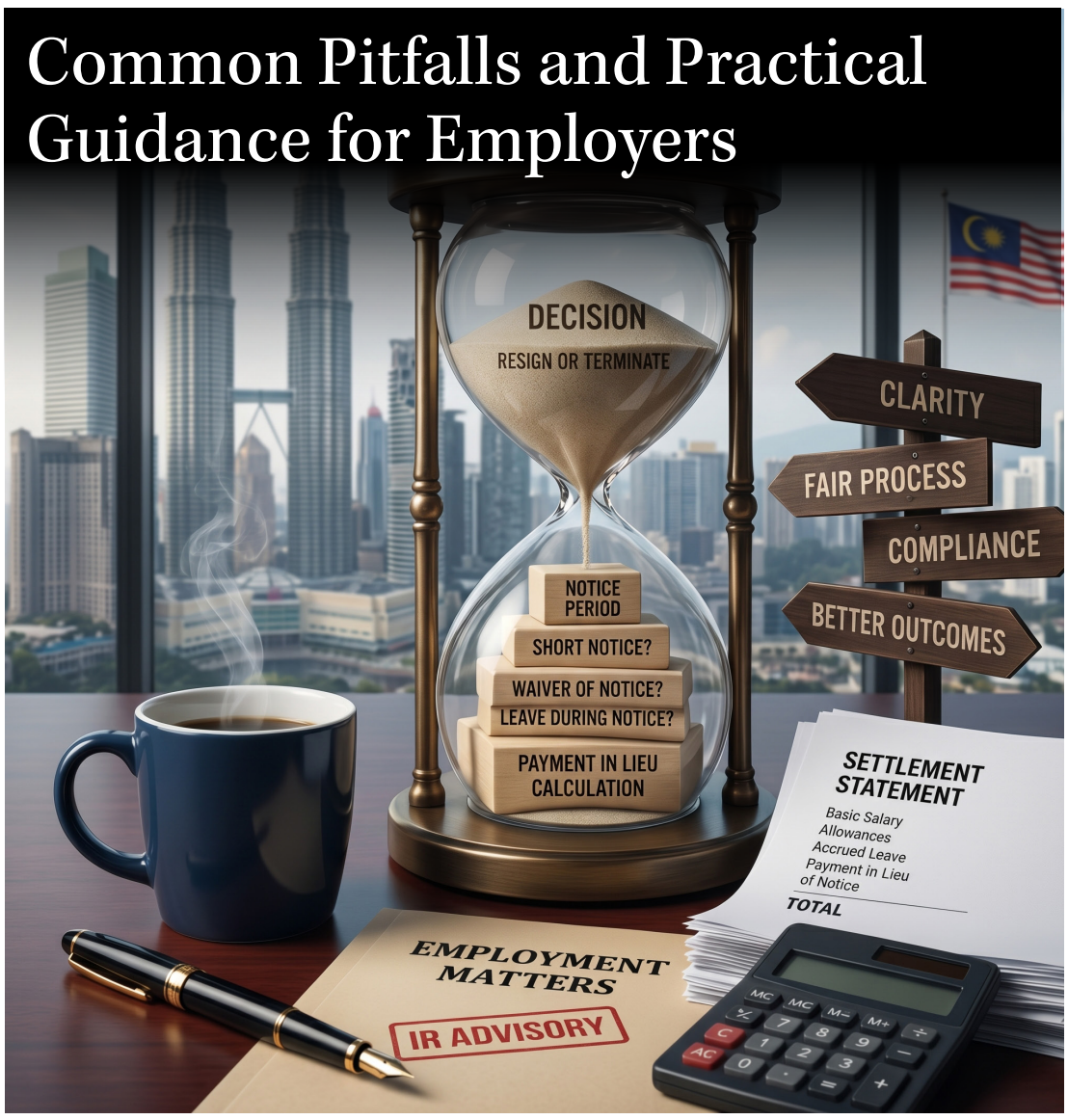


What is Notice?

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Handling Notice of Resignation and Termination:

Common Pitfalls and Practical Guidance for Employers



Over the course of **30 years** of advising clients, we have received a steady stream of queries on the treatment of notice in the event of a resignation or termination by the employer.While the scenarios differ, the same issues arise repeatedly – often due to misunderstandings of concepts such as "short notice", "waiver of notice", the application of leave during the notice period, and the computation of payments to be included when determining payments in lieu of notice.

This article distils these recurring issues into practical guidance for employers.

Key Takeaways

- Notice is contractual, but how it is handled carries legal consequences
- Short notice creates a financial obligation (payments in lieu)
- Waiver of notice is possible but should be used cautiously
- Annual Leave and Garden Leave can be used strategically
- Salary in lieu must be properly computed and clearly documented

Hot Topics

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What is Notice?

When employment is brought to an end (by resignation or termination), a notice period must usually be served.

This means either:

- The employee continues working during the notice period, or
- The party ending employment pays salary in lieu of the notice (where the employer elects to do so) or indemnity in lieu of notice (where the employee fails to serve the required notice) instead of physically serving that time.

In some cases, a shorter period than the contractual notice period is served - this gives rise to "short notice".



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Waiver of Notice

Waiver of notice occurs when the party entitled to receive notice elects to forgo that right, allowing the employment to end immediately or before the full notice period is served. This is not the norm and should generally be used in specific situations, such as:

In the case of a resignation

- where an employee is joining a competitor or holds a sensitive role
- where resignation occurs after disciplinary proceedings have commenced

In the case of a termination by employer

The employees may choose to waive the notice given by the employer (for example, to commence new employment earlier). In practice, employees often request early release while also seeking payment for the unserved balance of the notice period. There is no obligation on the employer to agree to such a request. The employer may allow the employee to leave earlier with wages limited to the last day worked. Alternatively, the employer may agree to early release subject to terms, including requiring the employee to execute a waiver of claims in consideration of any payment made.

If the employee absconds after being served notice by the employer, is indemnity in lieu of notice recoverable from the employee?

While theoretically arguable, recovery is rarely pursued in practice, because the "abscondment" happened while the employee was serving notice of termination. There is therefore no obligation on the employee to give the employer notice. Courtesy would dictate that the employee informs the employer that he wishes to leave earlier and exercise his right to waive the notice. He has instead, by his conduct of remaining absent without reason, potentially committed a breach of his contract prompting the employer to now take steps to terminate his services immediately. However, this situation is rather grey and not worth being summoned to Court over. Especially if the employee later claims to have reasonable excuse for the absence. We would therefore recommend simply waiving the notice and bringing the matter to a close.

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Short Notice Explained

Short notice simply means that the employee leaves earlier than the required notice period.
Example:

- Contract requires 3 months' notice
- Employee works only 2 months
- The remaining 1 month = short notice

(This 1 month becomes money payable (salary / indemnity in lieu of notice)



How employers should handle this:

1. **Situation where employee resigns with short notice:**
   - deduct balance notice from final salary, or
   - recover balance notice separately if there are no monies owing to the employee to make a deduction

2. **Situation where employer terminates and the employee stops reporting for duty without serving the full notice period.**

This is relatively uncommon, as most employees would typically serve out the notice period to receive their full and final wages. Nevertheless, where this occurs, the employer may:

- **1st Option** - treat the employee as having waived his/her right to the balance of the notice period and pay wages only up to the last physical day worked – Refer to section below on waiver for an in-depth look at waivers
- **2nd Option -** treat the employee as having breached the contract of employment by failing to report for work without reason for more than 2 consecutive working days and proceed to terminate on that basis. Leave balance, if any, may be forfeited in accordance with Company policy and/or law as is usually the case with dismissals and breach of contract scenarios.

Considering that the employer had already issued the notice of termination to the employee, option 1 is the more risk averse option in such cases.

Practical Reality

While the wording of the law appears to permit waiver:

- it is sometimes challenged by employees;
- interpretations of the proviso to section 12(2) are not applied consistently at the Labour Department level;
- decisions of Labour Officers are not binding on one another, and outcomes may therefore vary.

Although there have been instances where the employer's right to waive has been upheld, the position has not been firmly settled by the higher courts in Malaysia. This is partly because employers do not typically pursue such matters beyond the Labour Court level, given the relatively limited value of the dispute.

Accordingly, waiver should not be treated as a blanket rule but exercised judiciously in appropriate circumstances.

Using Annual Leave and Garden Leave Strategically

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Many employers do not realise that they have intermediate options available before resorting to a waiver of notice.

(A) Annual Leave During Notice

- The employee continues to serve notice; and
- Utilises accrued annual leave during the notice period

Employment continues
Salary continues

To implement this effectively, employers should consider including provisions in the employee handbook allowing the company to require employees to utilise their accrued leave during the notice period.

It is also important to clearly remind employees that non-compete and conflict of interest obligations remain in force until the employment contract ends, thereby preventing any commencement of employment with a new employer during the notice period.

(B) Garden Leave

- The employee is instructed not to report to work; and
- Remains employed for the duration of the notice period, with salary and benefits intact

Paid, but not working
Particularly useful for employees in sensitive roles

Garden leave allows the employer to:

- restrict access to confidential information;
- minimise disruption; and
- manage transition risks while preserving the employment relationship until expiry of notice

(C) Waiver After Leave

Employers may adopt a phased approach:

1. Place the employee on annual leave or garden leave; and
2. Subsequently waive the remaining notice period where appropriate circumstances arise

This approach:

- extends the period during which the employee remains on payroll, which may help reduce friction.
- protects business interests by limiting active involvement in the workplace; and
- allows for a controlled and managed exit, rather than an immediate termination



Policy Considerations

Employers should also incorporate clear provisions in their annual leave policies (and reinforce these during onboarding) to reflect that, while leave is generally taken at the employee's request and subject to approval, the company may require employees to utilise leave in specific circumstances, including:

- during the notice period;
- during company shutdowns (e.g. festive periods); or
- where operational needs require it

Such provisions are particularly useful where



Determining Salary in Lieu and Indemnity in Lieu of Notice

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This is one of the most misunderstood areas.

In practice, the same principle applies in both situations:

- Salary in lieu of notice → what the employer must pay where notice is not served
- Indemnity in lieu of notice → what the employee must pay where notice is not served

In both cases, the starting point is:

What would the employee have earned had the notice period been fully served?

What Payments Should Be Included?

Included:

- Basic salary
- Fixed monthly allowances forming part of wages

Excluded (generally):

- Travelling allowance (specifically excluded under the statutory definition of wages)
- Reimbursements
- Payments not tied to work performed (e.g. attendance incentives, commissions, or other variable payments)

Simple rule:

Only payments that form part of "wages" and would have been earned during the notice period should be included.

Example

Employee earns:
a. Salary: RM5,000
b. Shift allowance: RM1,000
c. Travelling allowance: RM300
d. Attendance incentive*: RM200 (attendance-based)
e. Commissions or incentives*: RM500 (performance-based)

Shortfall in notice: 1 month

Salary / indemnity in lieu = RM6,000 (a + b only)

Final Pay Position

- Earnings accrued up to last day worked: RM7,000 (a–e)
- Payment for unused leave: RM2,000

Total due: RM9,000
Less indemnity for short notice: RM6,000

Final payout = RM3,000

Treatment of Variable Payments

*Attendance incentives and commissions are not included in the calculation because:

- they are contingent on actual attendance or performance
- by not serving the notice period, the employee did not have the opportunity to earn them

However:
If such payments are fixed and paid monthly regardless of attendance or performance, they would be treated as wages and should be included in the calculation, as they may be regarded as "payments in cash payable to an employee for work done in respect of his contract of service" within the meaning of section 2.



6 EPF Treatment

Employers often ask:

"Do we need to contribute EPF on salary in lieu of notice?"

Practical Position:

- EPF contributions generally apply to wages arising from employment
- Salary in lieu of notice is often treated as:
  - ➡ compensation for early termination, rather than payment for work performed

As such, it is commonly treated as not attracting EPF contributions



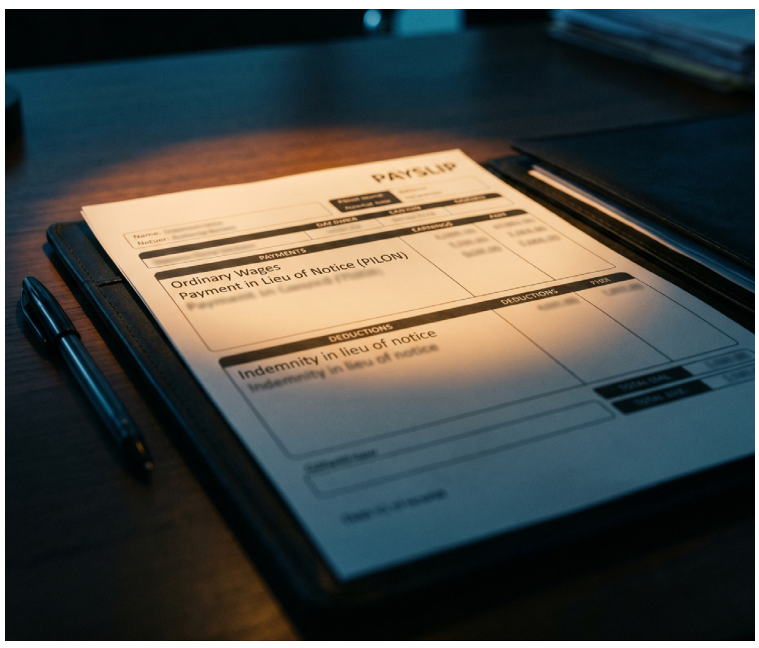
7 Payslip Transparency

Employers should ensure that all notice-related payments and deductions are clearly and accurately reflected in the payslip.

Recommended practice:

- Clearly state:
  - ➡ "Salary in Lieu of Notice" or
  - ➡ "Payment in Lieu of Notice (PILON)"
- where deductions are made, reflect them as:
  - ➡ "Indemnity in lieu of [x] months' notice"
- Avoid classifying such payments as ordinary wages

This promotes transparency, reduces disputes, and supports proper compliance and record-keeping.



8 Final Pay: Getting the Mechanics Right

Employers must clearly determine:

- the last physical working day;
- the last day of employment (e.g. after utilisation of annual or garden leave);
- whether leave is to be utilised or encashed; and
- whether notice is served, waived, or paid in lieu

Misalignment in any of the above is one of the most common sources of disputes.

Conclusion



Building Consistency into Your Approach

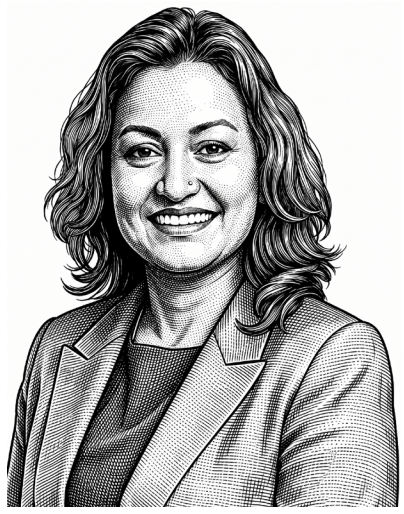
The most significant risk we observe is the **inconsistent handling of similar situations.**

To minimise disputes, employers should:

- clearly define internal policies on notice and exit management;
- communicate waiver rights early and incorporate appropriate provisions into employment contracts and handbooks;
- apply a consistent approach, save for genuinely exceptional circumstances; and
- ensure that all decisions are properly documented, including accurate classification in payslips

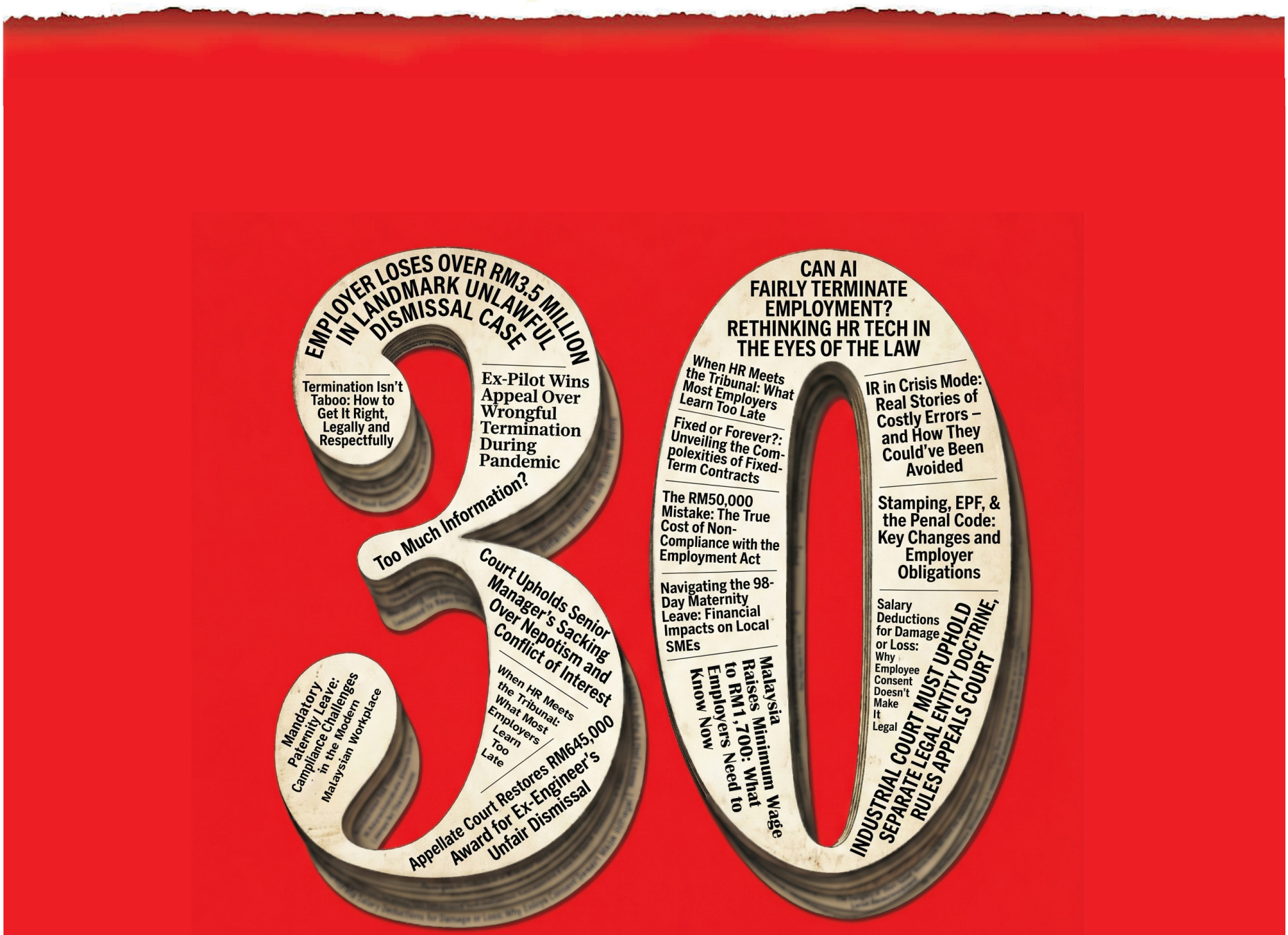
A structured and consistent approach will support:

- fairness;
- legal defensibility; and
- smoother and more controlled exits.



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